

Understanding Marketing Environment & Capturing Actionable Insights

LEARNING OBJECTIVES



1. What makes up a marketing intelligence system?
2. What are some influential macroenvironment developments?
3. What is the scope of marketing research?
4. What steps are involved in conducting good marketing research?
5. What are the best metrics for measuring marketing productivity?

COMPONENTS OF A MODERN MARKETING INFORMATION SYSTEM (MIS)

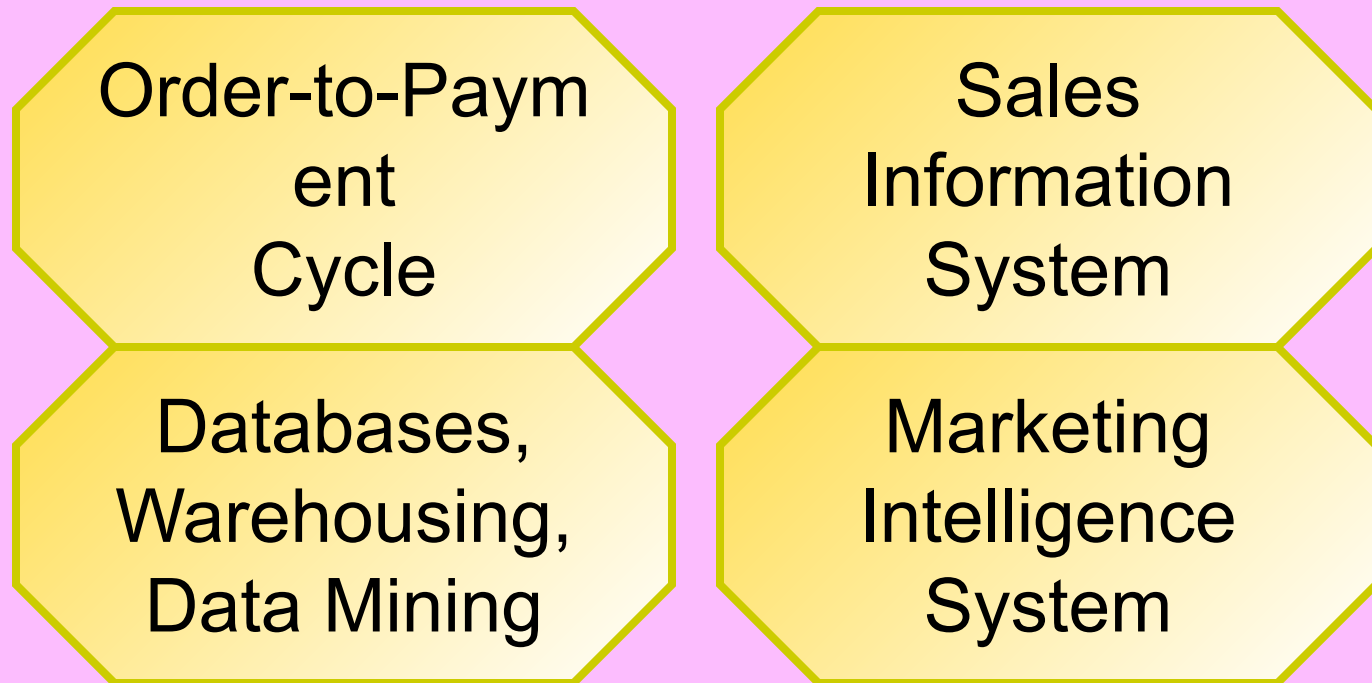
A MIS consists of people, equipment and procedures to gather, sort and analyze, evaluate and distribute needed, timely and accurate information to marketing decision makers

- ✓ Internal company records
- ✓ Marketing intelligence activities
 - ✓ Marketing research

INFORMATION NEEDS PROBES

- What decisions do you regularly make?
- What information do you need to make these decisions?
- What information do you regularly get?
- What special studies do you periodically request?
- What information would you want that you are not getting now?
- What are the four most helpful improvements that could be made in the present marketing information system?

INTERNAL RECORDS AND MARKETING INTELLIGENCE



SECONDARY COMMERCIAL DATA SOURCES

AC Nielsen –
ORG MARG

TAM Media
Research

CMIE

Euromonitor
International

NCAER

Gallup Pakistan

INTERNAL RECORDS

- Use order-to-payment-cycle
- Internal reports of orders
- Sales
- Prices
- Costs
- Inventory levels
- Receivables
- Payables

MARKETING INTELLIGENCE

- **Marketing intelligence system**: a set of procedures and sources that managers use to obtain everyday information about developments in the marketing environment; **Supplies happenings data**

Managers Collect from:

- **Reading books**
- **Newspapers and trade publications**
- **Talking to customers, suppliers, distributors and other company managers**
- **Monitoring Social Media**

IMPROVING MARKETING INTELLIGENCE

- ✓ Motivate sales force to report new developments
- ✓ Motivate intermediaries to pass along intelligence
 - ✓ Hire external experts to collect intelligence
 - ✓ Network internally and externally
 - ✓ Set up a customer advisory panel
 - ✓ Take advantage of government-related data
- ✓ Purchase information from outside research vendors
 - ✓ Collect marketing intelligence and customer information on Internet

MARKETING INTELLIGENCE ON THE INTERNET

- Independent customer goods and service review forums
- Distributor or sales agent feedback sites
- Combo sites offering customer reviews and expert opinions ZDNet.com
- Customer complaint sites
- Public blogs

COMMUNICATING & ACTING ON MARKETING INTELLIGENCE

- The competitive intelligence function works best when it is closely coordinated with the decision-making process
 - Given the speed of the Internet, it is important to act quickly on information gleaned online

ANALYZING THE MACROENVIRONMENT NEEDS AND TRENDS

Fad: Unpredictable, short-lived and without social economic and political significance; can cash but timing and luck; *Pokemon toys; Subscription based Birch box*

Trend: A direction or sequence of events with momentum and durability; more predictable and durable reveal shape of future; can provide strategic direction; *Lesser reading of print more on app*

Megatrend: large social, economic, political, and technological change; slow to form; once in place, influences us for some time (between seven and ten years, or longer; *Digitalization; population growth*

IDENTIFYING AND MONITORING THE SIX MAJOR MAJOR FORCES IN THE BROAD ENVIRONMENT

Demographic

Natural

Economic

Technological

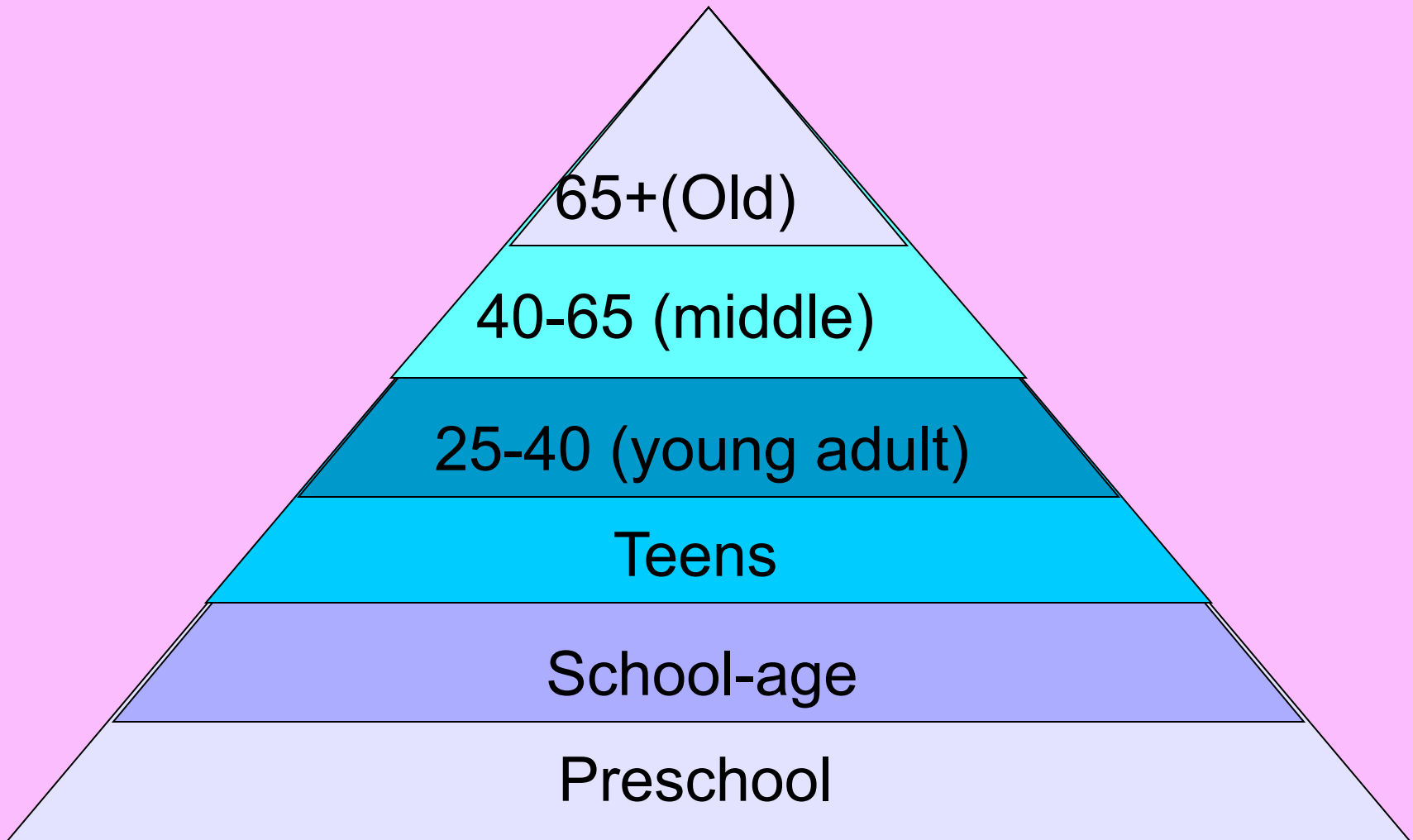
Socio-cultural

Political-legal

THE DEMOGRAPHIC ENVIRONMENT

- **Worldwide population growth**: size, growth rate in cities, regions and nations, distribution, ethnic mix; educational pattern and household patterns
- **Population age mix**: generally divided into six age groups: preschool children, school-age children, teens, young adults age 20 to 40, middle-aged adults 40 to 65, and older adults 65 and older
- **Ethnic and other Markets**: Ethnic and racial diversity varies across countries
- **Educational groups**: five educational groups: illiterates, high school dropouts, high school diplomas, college degrees, and professional degrees
- **Household patterns** Each type of household has distinctive needs and buying habits

POPULATION AGE GROUPS



ETHNIC AND OTHER MARKETS

- Japan: almost everyone Japanese
- US: 9% population born in other country
- India : 80.5% Hindu, 13.4% Muslims, 2.31% Christians; 1.9% Sikhs, 0.8% Buddhists), 0.4% Jains and 0.6% others

THE ECONOMIC ENVIRONMENT

CONSUMER PSYCHOLOGY

INCOME DISTRIBUTION

INCOME, SAVINGS, DEBT, CREDIT

Purchasing power depends on consumers' income, savings, debt, and credit availability as well as the price level

CONSUMER PSYCHOLOGY

- Disposable Income
- Socio-economic profile
- Aspirations
- Expectations from future

INCOME DISTRIBUTION

- Subsistence economies
- Raw-material-exporting economies
- Industrializing economies
- Industrial economies
- Very low incomes
- Mostly low incomes
- Very low, very high incomes
- Low, medium, high incomes
- Mostly medium incomes

CLASSIFICATION OF INCOME CLASS (ALL FIGURES IN MILLIONS)

Income Class	1995-96		2006-07	
	Households	Estimated Population	Households	Estimated Population
Rich	1.2	7	5.2	30
Consuming	32.5	186	75.5	432
Climbers	54.1	312.2	81.7	472
Aspirants	44	253.9	20.2	117
Destitute	33	190.4	16.5	95

INCOME DISTRIBUTION IN INDIA

TABLE 3.5

Income-wise Distribution of Households and Consumption in India

Income class (in ₹ '000, at 2000 prices)	2005 (E)		2015 (F)		2025 (F)*	
	No. of Households (in million)	Aggregate Consumption (in ₹ trillion at 2000 prices)	No. of Households (in million)	Aggregate Consumption (in ₹ trillion at 2000 prices)	No. of Households (in million)	Aggregate Consumption (in ₹ trillion at 2000 prices)
Globals (>1,000)	1.2	1.2	3.3	4.1	9.5	14.1
Strivers (500–1,000)	2.4	1.0	5.5	2.7	33.1	16.5
Seekers (200–500)	10.9	2.1	55.1	11.8	94.9	24.6
Aspirers (90–200)	91.3	8.5	106.0	12.2	93.1	11.9
Deprived (<90)	101.1	4.1	74.1	3.3	49.9	2.4
Total	206.9	16.9	244.0	34.1	280.5	69.5

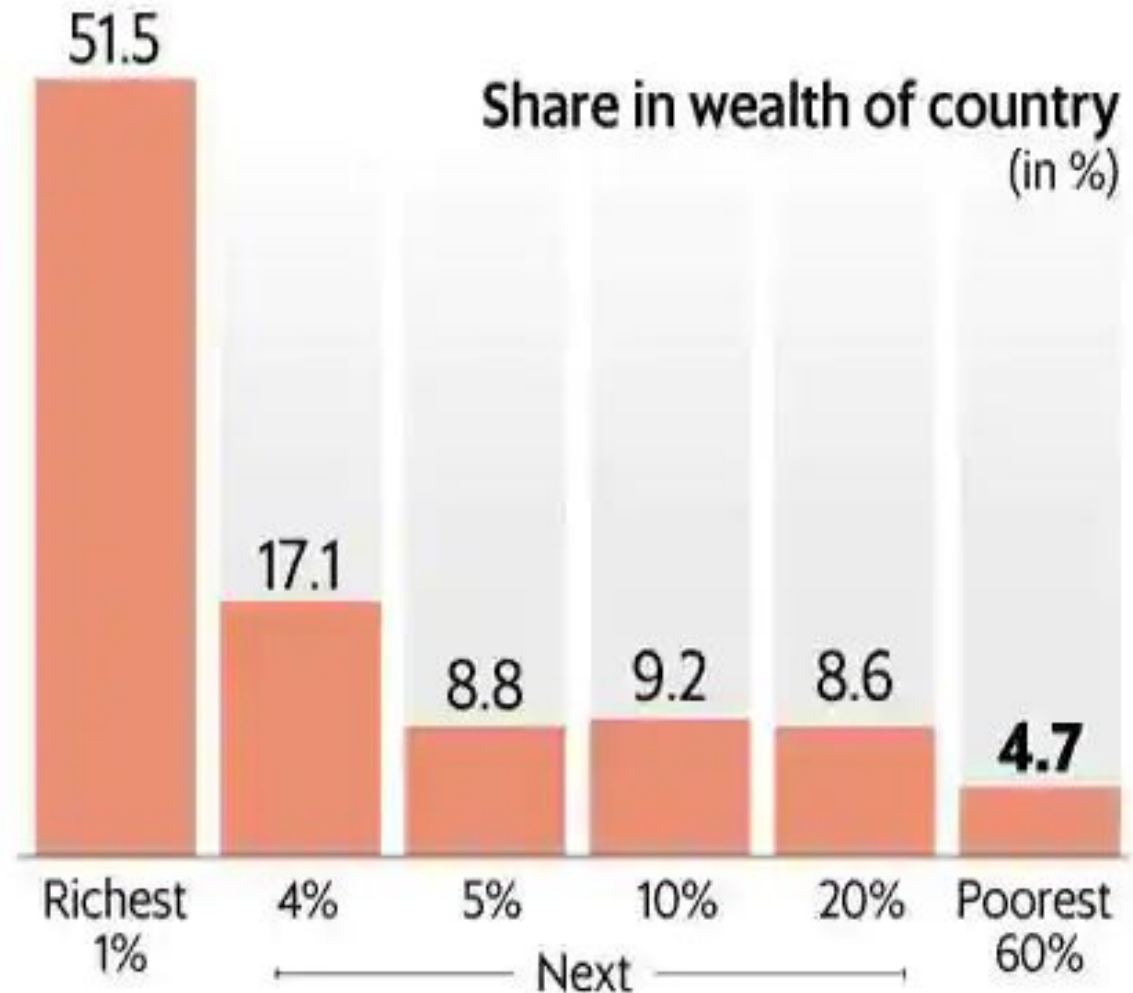
Source: McKinsey Global Institute, estimates and forecasts (modified) from "The Bird of Gold," *The Rise of India's Consumer Market*, Chapter 2, May 2007, pp. 39–61.

10% OF THE RICHEST INDIANS HAVE 77.4% OF THE WEALTH IN INDIA; THE POOREST 60% HAVE 4.7%.

Chart 1

The Indian plutocracy

The richest 10% have 77.4% of national wealth; the poorest 60% have 4.7%.

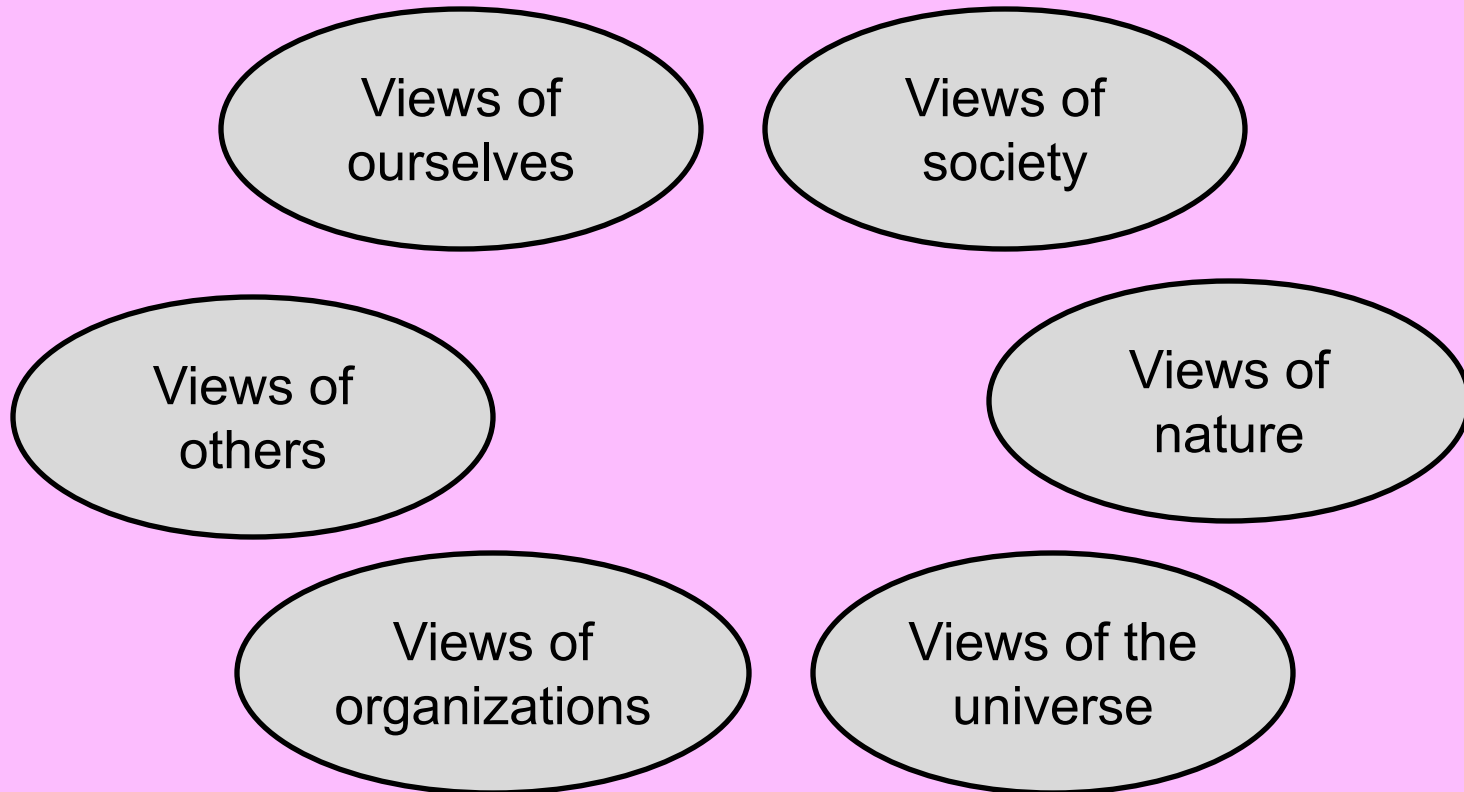


Source: Credit Suisse

CHANGING INDIAN CONSUMPTION PATTERNS

- Consistent high rate of GDP growth
- Increase in real income despite inflation
- Global integration
- Increasing competition, high effort in market development
- Growth and penetration of media, especially electronic and in regional languages
- Increasing governmental developmental expenditure
- Rapid urbanization
- Ever rising literacy levels and aspirations of predominantly young population

THE SOCIOCULTURAL ENVIRONMENT



OTHER CULTURAL FACTORS IN MARKETING

High Persistence of Core Cultural Values:

Core beliefs: hard to change

Secondary beliefs: easier to change

Existence of subcultures:

Culture of 1950's and 1960's generation
and 'kool' generation i.e consumption oriented,
living for today and influenced by film stars and
cricketers

THE SOCIOCULTURAL ENVIRONMENT

- Core cultural values
 - Values are passed from parents to children and reinforced by social institutions
- Subcultures
 - Groups with shared values, beliefs, preferences, and behaviors emerging from their special life experiences or circumstances

THE TECHNOLOGICAL ENVIRONMENT

Accelerating pace of change

Unlimited opportunities
for innovation

Varying R&D budgets

Increased regulation of
technological change

THE POLITICAL-LEGAL ENVIRONMENT

LAWS

GOVERNMENT AGENCIES

PRESSURE GROUPS

POLITICAL-LEGAL ENVIRONMENT



Increase in business
legislation Safety;
Information; Choice;
Representation; Redressal;
Consumer Education
Growth of special
interest groups

NATURAL ENVIRONMENT

Shortage of
raw materials

Increased
energy costs

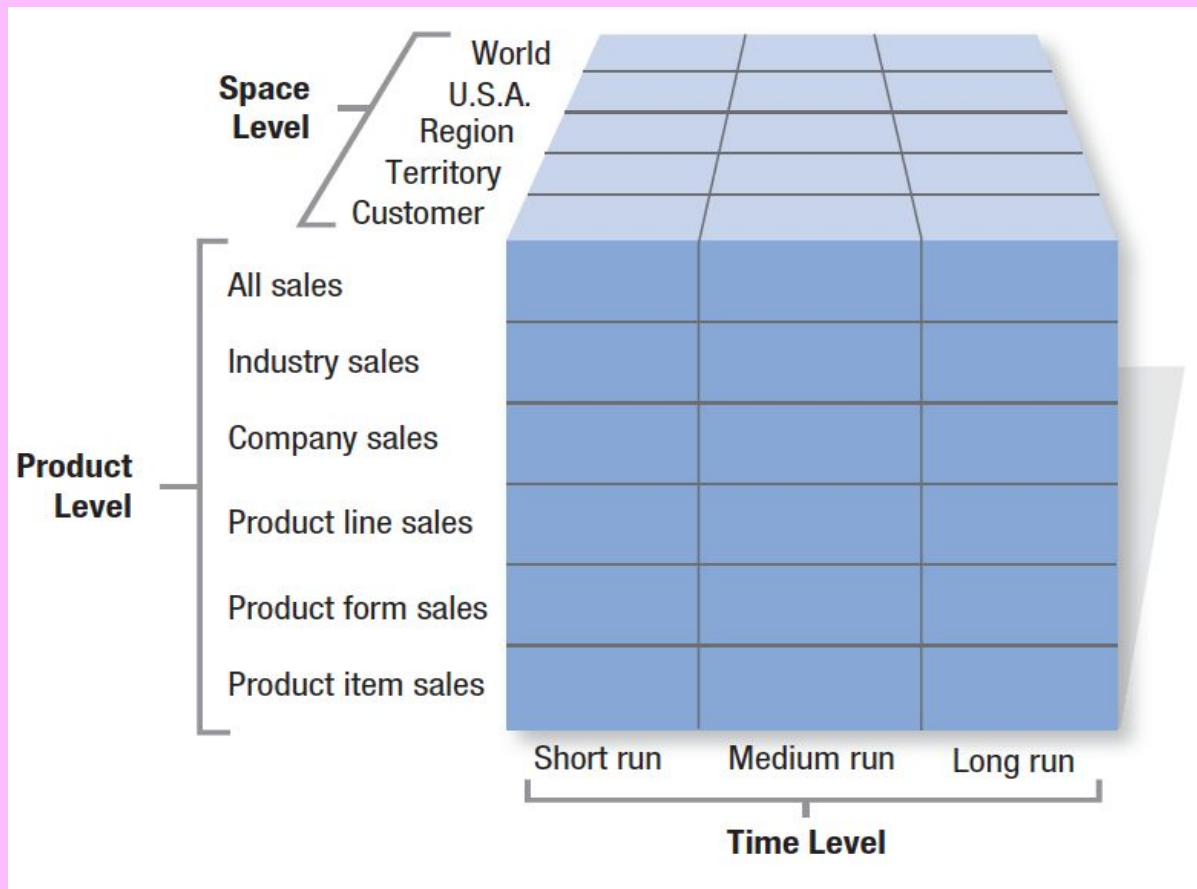
Anti-pollution
pressures

Governmental
protections

THE NATURAL ENVIRONMENT CORPORATE ENVIRONMENTALISM

- Opportunities await those who can reconcile prosperity with environmental protection
- Trends for marketers to be aware of include the shortage of raw materials, especially water; the increased cost of energy; increased pollution levels; and the changing role of governments

NINETY TYPES OF DEMAND MEASUREMENT

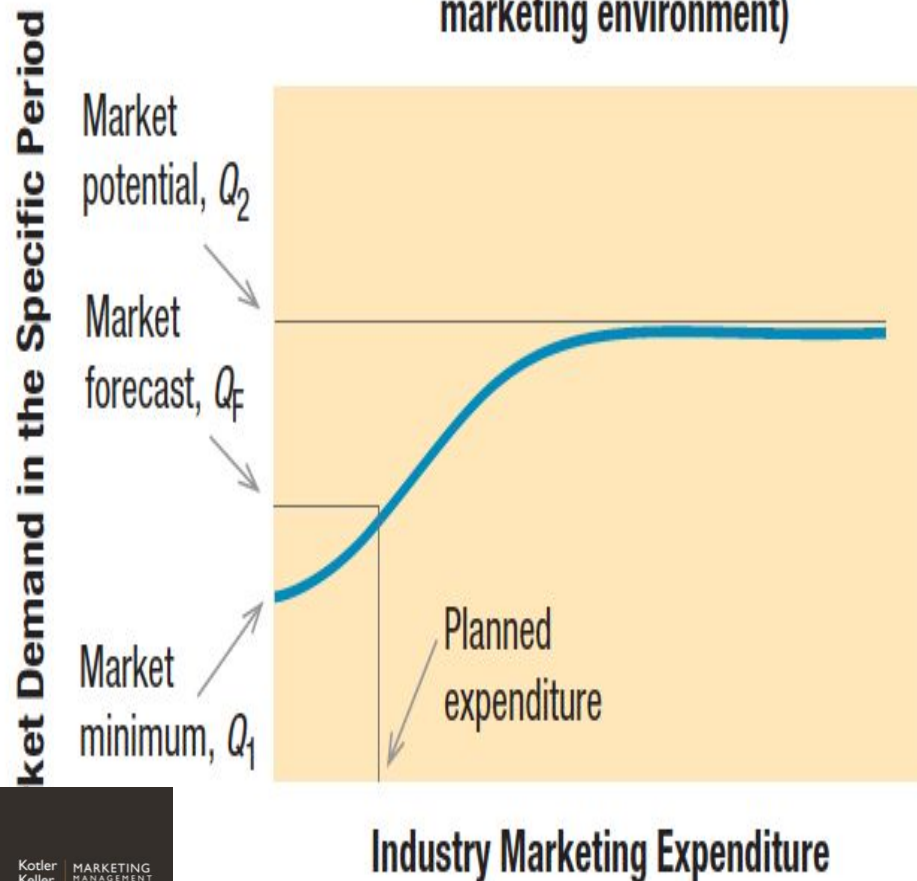


DEMAND MEASUREMENT

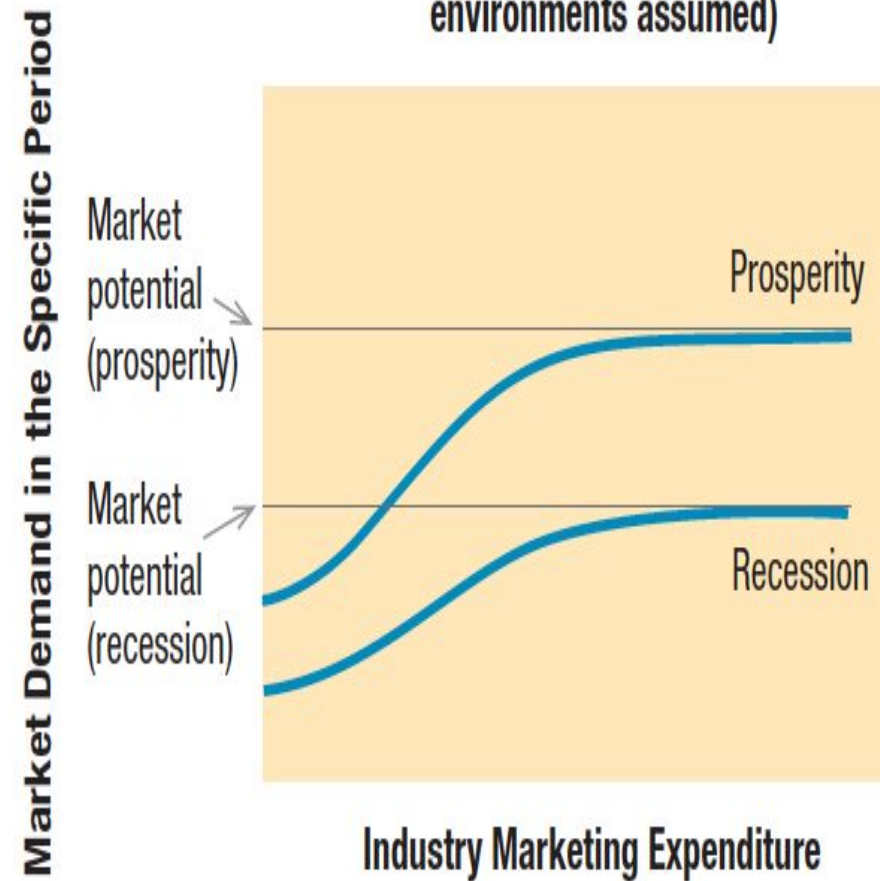
VOCABULARY

- Market demand

(a) Marketing Demand as a Function of Industry Marketing Expenditure (assumes a particular marketing environment)

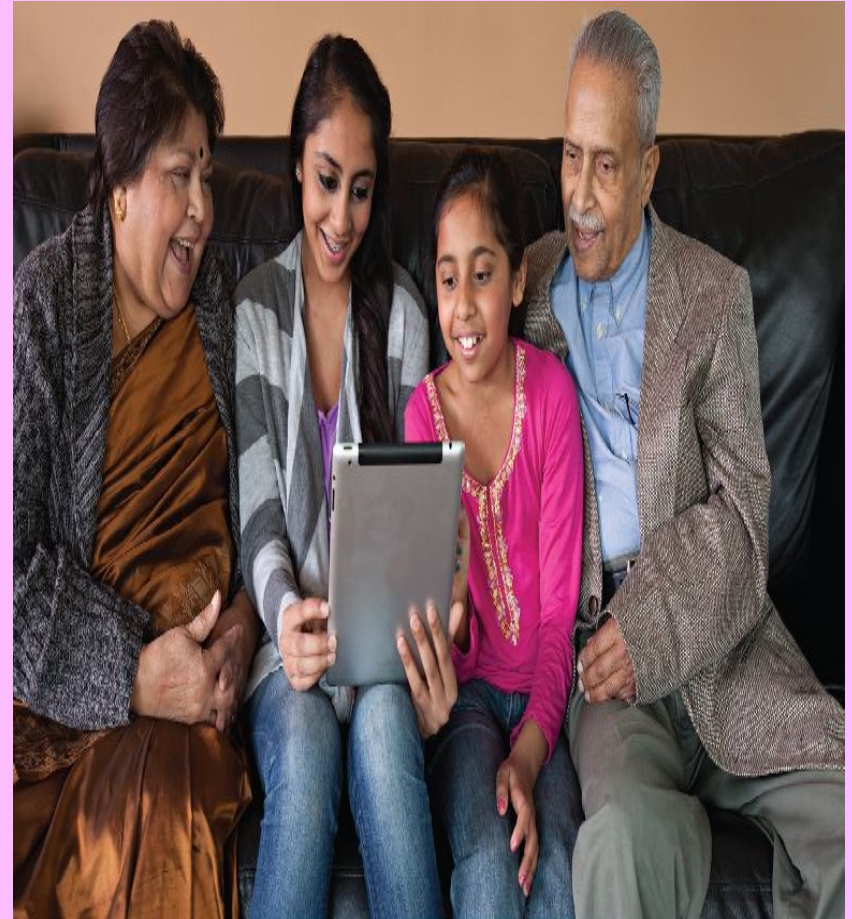


(b) Marketing Demand as a Function of Industry Marketing Expenditure (two different environments assumed)



MARKET DEMAND VOCABULARY

- Market share
- Market-penetration index
- Share-penetration index



DEMAND MEASUREMENT VOCABULARY

Market forecast

Market potential

Company demand

Company sales forecast

Company sales potential

ESTIMATING CURRENT DEMAND

- Total market potential
 - Chain-ratio method

$$\begin{array}{ccccccc} \text{Demand} & & \text{Personal} & & \text{Average} & & \text{Average} & & \text{Average} & & \text{Expected} \\ \text{for the} & & \text{discretionary} & & \text{percentage of} & & \text{percentage of} & & \text{percentage of} & & \text{percentage of} \\ \text{new} & & \text{income} & & \text{discretionary} & & \text{amount spent} & & \text{amount spent} & & \text{amount spent} \\ \text{light beer} & = & \text{per} & \times & \text{income} & \times & \text{on food that is} & \times & \text{on alcoholic} & \times & \text{on beer that} \\ & & \text{capita} & & \text{spent} & & \text{spent on} & & \text{beverages that} & & \text{will be spent on} \\ & & & & \text{on food} & & \text{beverages} & & \text{is spent on beer} & & \text{light beer} \end{array}$$

ESTIMATING CURRENT DEMAND

- Area market potential
 - Market-buildup method
 - Multiple-factor index method

ESTIMATING CURRENT DEMAND

- Industry sales and market share



ESTIMATING FUTURE DEMAND

- Survey of buyers' intentions
 - Forecasting and purchase probability scale
- Composite of sales force opinions
- Expert opinion
- Past-sales analysis
- Market-test method

THE SCOPE OF MARKETING RESEARCH

- American Marketing Association
 - Marketing research is the function that links the consumer, customer, and public to the marketer through information—information used to identify and define marketing opportunities and problems; generate, refine, and evaluate marketing actions; monitor marketing performance; and improve understanding of marketing as a process.

THE SCOPE OF MARKETING RESEARCH

- Importance of marketing insights
 - Generating insights (how and why we observe certain effects in the marketplace)



THE SCOPE OF MARKETING RESEARCH

- Who Does Marketing Research?

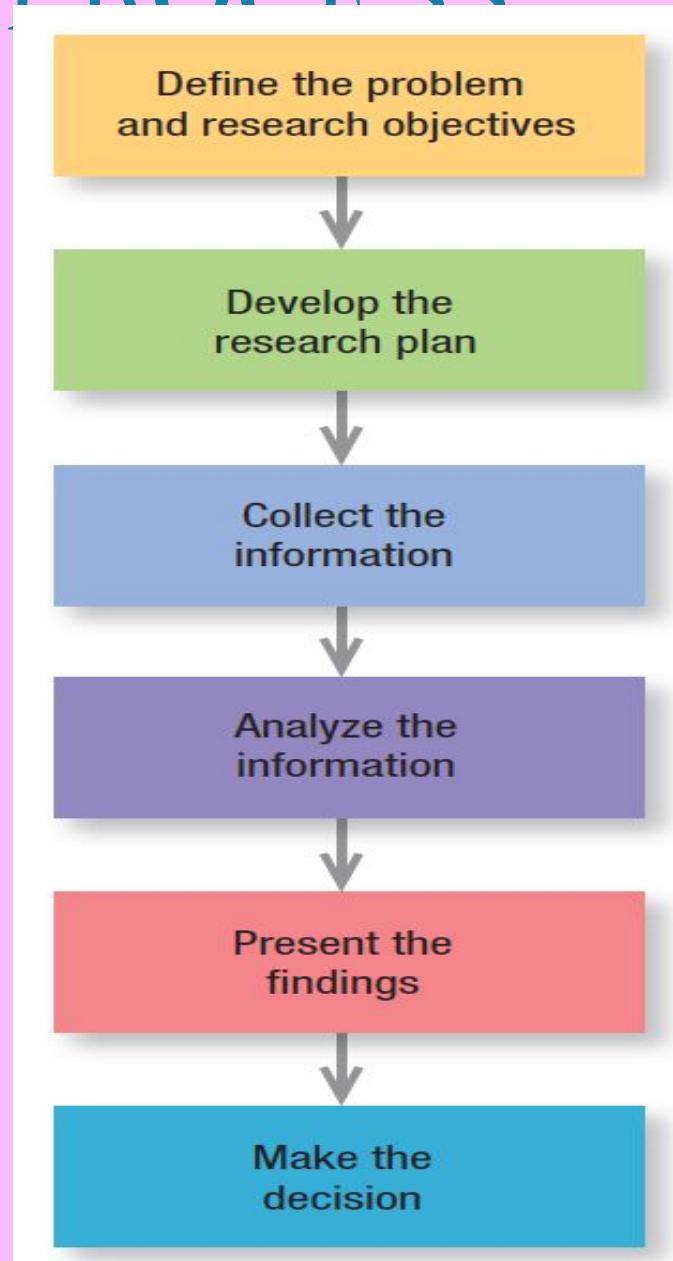
- ✓ Marketing departments in big firms
- ✓ Everyone at small firms
- ✓ Syndicated-service research firms
- ✓ Custom marketing research firms
- ✓ Specialty-line marketing research firms

THE SCOPE OF MARKETING RESEARCH

- Overcoming Barriers to the Use of Marketing Research
 - Many companies still fail to use it sufficiently or correctly



THE MARKETING RESEARCH PROCESS



c.

STEP 1

- Define the problem
- Define the decision alternatives
- Define the research objectives

STEP 2: DEVELOP THE RESEARCH PLAN

- Data sources
 - Secondary data vs. primary data

STEP 2: DEVELOP THE RESEARCH PLAN

- Research approaches

- ✓ Observational research
- ✓ Focus group research
- ✓ Survey research
- ✓ Behavioral research

STEP 2: DEVELOP THE RESEARCH PLAN

- Research instruments

Questionnaires

Qualitative measures

Technological devices

QUESTIONNAIRE 1 / 2

TABLE 4.1

Types of Questions

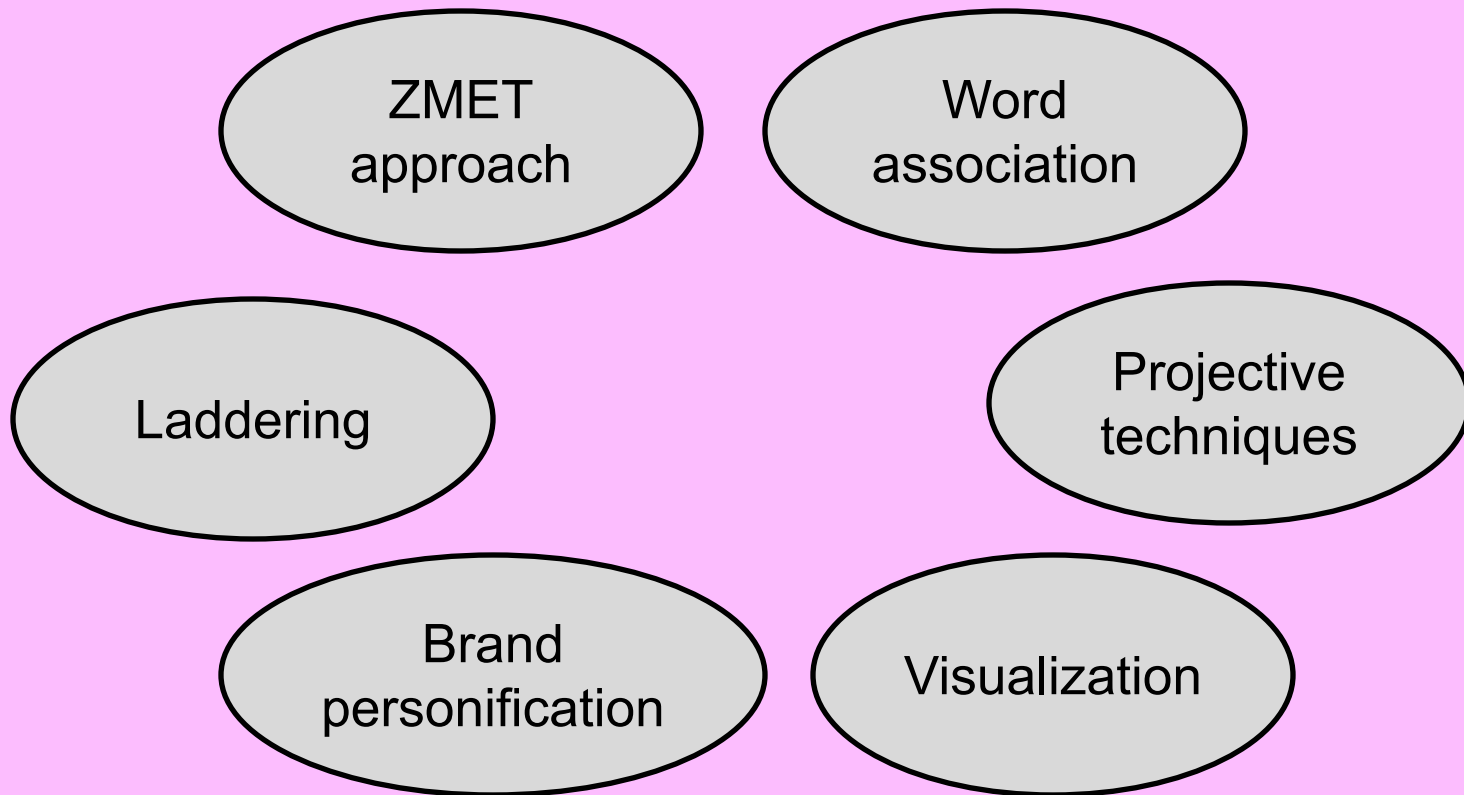
Name	Description	Example
A. Closed-End Questions		
Dichotomous	A question with two possible answers	In arranging this trip, did you personally phone American? Yes _____ No _____
Multiple choice	A question with three or more answers	With whom are you traveling on this flight? ☐ No one ☐ Children only ☐ Spouse ☐ Business associates/friends/relatives ☐ Spouse and children ☐ An organized tour group
Likert scale	A statement with which the respondent shows the amount of agreement/disagreement	Small airlines generally give better service than large ones. Strongly Disagree Neither Agree Strongly disagree agree nor agree disagree 1_____ 2_____ 3_____ 4_____ 5_____
Semantic differential	A scale connecting two bipolar words. The respondent selects the point that represents his or her opinion.	I find American Airlines ... Large _____ Small Experienced _____ Inexperienced Modern _____ Old-fashioned
Importance scale	A scale that rates the importance of some attribute	Airline in-flight service to me is Extremely Very Somewhat Not very Not at all important important important important important 1_____ 2_____ 3_____ 4_____ 5_____
Rating scale	A scale that rates some attribute from "poor" to "excellent"	American in-flight service is Excellent Very Good Good Fair Poor 1_____ 2_____ 3_____ 4_____ 5_____
Intention-to-buy scale	A scale that describes the respondent's intention to buy	If ultra high-speed Wi-Fi service were available on a long flight, I would Definitely Probably Not sure Probably Definitely buy buy not buy not buy not buy 1_____ 2_____ 3_____ 4_____ 5_____

QUESTIONNAIRE 2/2

B. Open-End Questions

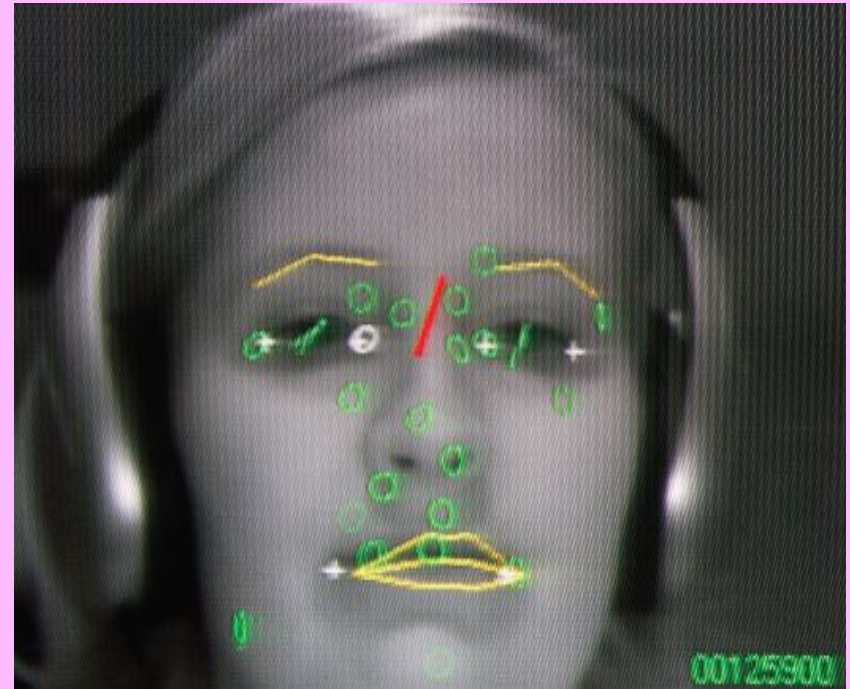
Completely unstructured	A question that respondents can answer in an almost unlimited number of ways	What is your opinion of American Airlines?
Word association	Words are presented, one at a time, and respondents mention the first word that comes to mind.	What is the first word that comes to your mind when you hear the following? Airline _____ American _____ Travel _____
Sentence completion	An incomplete sentence is presented and respondents complete the sentence.	When I choose an airline, the most important consideration in my decision is _____.
Story completion	An incomplete story is presented, and respondents are asked to complete it.	"I flew American a few days ago. I noticed that the exterior and interior of the plane had very bright colors. This aroused in me the following thoughts and feelings . . ." Now complete the story.
Picture	A picture of two characters is presented, with one making a statement. Respondents are asked to identify with the other and fill in the empty balloon.	
Thematic Apperception Test (TAT)	A picture is presented and respondents are asked to make up a story about what they think is happening or may happen in the picture.	

QUALITATIVE MEASURES



STEP 2: DEVELOP THE RESEARCH PLAN

- Technological devices
 - Galvanometer
 - Tachistoscope
 - Eye-tracking
 - Facial detection
 - Skin sensors
 - Brain wave scanners
 - Audiometer
 - GPS



STEP 2: DEVELOP THE RESEARCH PLAN

- Sampling plan
 - Sampling unit: Whom should we survey?
 - Sample size: How many people should we survey?
 - Sampling procedure: How should we choose the respondents?

STEP 2: DEVELOP THE RESEARCH PLAN

- Contact methods

- ✓ Mail
- ✓ Telephone
- ✓ Personal
- ✓ Online

ONLINE RESEARCH

- Advantages
 - Inexpensive
 - Expansive
 - Fast
 - Honest
 - Thoughtful
 - Versatile
- Disadvantages
 - Small
 - Skewed
 - Excessive turnover
 - Technological problems
 - Technological inconsistencies

STEP 3 TO STEP 6

Step 3: Collect the Information

Step 4: Analyze the Information

Step 5: Present the Findings

Step 6: Make the Decision

TABLE 4.2

GOOD MARKETING RESEARCH

TABLE 4.2

The Seven Characteristics of Good Marketing Research

1. Scientific method	Effective marketing research uses the principles of the scientific method: careful observation, formulation of hypotheses, prediction, and testing.
2. Research creativity	In an award-winning research study to reposition Cheetos snacks, researchers dressed up in a brand mascot Chester Cheetah suit and walked around the streets of San Francisco. The response the character encountered led to the realization that even adults loved the fun and playfulness of Cheetos. The resulting repositioning led to a double-digit sales increase despite a tough business environment. ⁴³
3. Multiple methods	Marketing researchers shy away from overreliance on any one method. They also recognize the value of using two or three methods to increase confidence in the results.
4. Interdependence of models and data	Marketing researchers recognize that data are interpreted from underlying models that guide the type of information sought.
5. Value and cost of information	Marketing researchers show concern for estimating the value of information against its cost. Costs are typically easy to determine, but the value of research is harder to quantify. It depends on the reliability and validity of the findings and management's willingness to accept and act on those findings.
6. Healthy skepticism	Marketing researchers show a healthy skepticism toward glib assumptions made by managers about how a market works. They are alert to the problems caused by "marketing myths."
7. Ethical marketing	Marketing research benefits both the sponsoring company and its customers. The misuse of marketing research can harm or annoy consumers, increasing resentment at what consumers regard as an invasion of their privacy or a disguised sales pitch.

MEASURING MARKETING PRODUCTIVITY

- Marketing metrics
- Marketing-mix modeling
- Marketing dashboards



MARKETING METRICS

- Measures that help marketers quantify, compare, and interpret performance

TABLE 4.3

Sample Marketing Metrics

I. External

Awareness
Market share (volume or value)
Relative price (market share value/volume)
Number of complaints (level of dissatisfaction)
Consumer satisfaction
Distribution/availability
Total number of customers
Perceived quality/esteem
Loyalty/retention
Relative perceived quality

II. Internal

Awareness of goals
Commitment to goals
Active innovation support
Resource adequacy
Staffing/skill levels
Desire to learn
Willingness to change
Freedom to fail
Autonomy
Relative employee satisfaction

MARKETING-MIX MODELING

- Analyzes data from a variety of sources, such as retailer scanner data, company shipment data, pricing, media, and promotion spending data, to understand more precisely the effects of specific marketing activities



MARKETING DASHBOARDS

- "A concise set of interconnected performance drivers to be viewed in common throughout the organization."

✓ Customer-performance scorecard

✓ Stakeholder-performance scorecard

TABLE 4.4

Sample Customer-Performance Scorecard Measures

- Percentage of new customers to average number of customers
- Percentage of lost customers to average number of customers
- Percentage of win-back customers to average number of customers
- Percentage of customers falling into very dissatisfied, dissatisfied, neutral, satisfied, and very satisfied categories
- Percentage of customers who say they would repurchase the product
- Percentage of customers who say they would recommend the product to others
- Percentage of target market customers who have brand awareness or recall
- Percentage of customers who say that the company's product is the most preferred in its category
- Percentage of customers who correctly identify the brand's intended positioning and differentiation
- Average perception of company's product quality relative to chief competitor
- Average perception of company's service quality relative to chief competitor

FIGURE 4.3

EXAMPLE OF A MARKETING DASHBOARD

